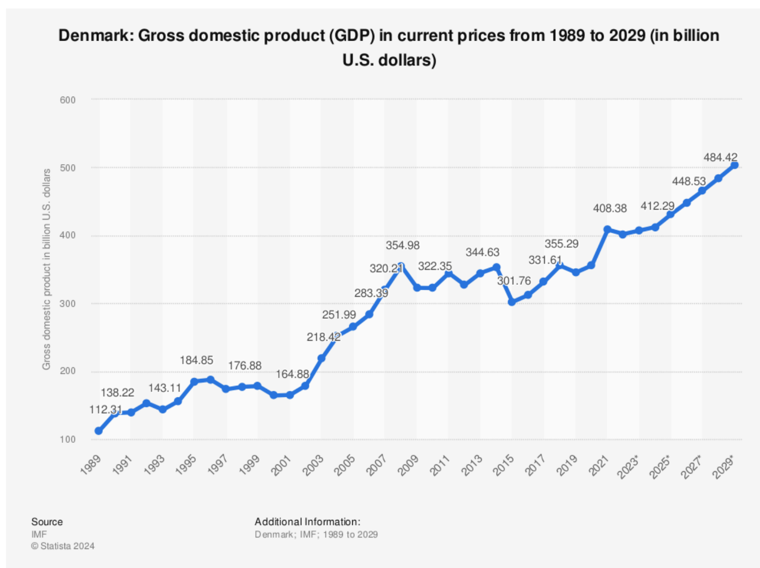
Denmark Report

By Armaan Arora, Luke Buddie, Jordan King, Lucy Moreland

Introduction

Denmark tells the world an important economic story. Its nominal GDP per capita places it above the United Kingdom, Germany, Canada, and just below the USA; however, Denmark's economic policies differ in many ways from that of its peers (World Bank). In this report, we examine the broader economic trends of Denmark, focusing primarily on GDP growth rate, unemployment rate, and quality of life. We then give a comparative analysis of Denmark and the USA. This analysis brings forth questions about how useful it is to prioritize growth as opposed to equality so intensely that social welfare policies like universal healthcare, well-funded public education, and generous unemployment benefits are placed on the back burner. We conclude with policy recommendations: We address Denmark's tax and unemployment rates, which are both high compared to the United States, and explain why Denmark's tax and unemployment policies contribute to such a strong, healthy, and happy economy.

Economic Growth Trends in Denmark



Over the past decade, Denmark's GDP growth has remained relatively stable, averaging around 2% annually despite disruptions, including a significant swing during the COVID-19 pandemic, from -2.4% in 2020 to 6.8% in 2021 (World Bank). Denmark's economic resilience is driven by an emphasis on innovation, technology, and human capital development. Denmark ranks 10th globally in the 2024 Global Innovation Index, indicating a strong focus on innovation and technology, specifically in renewable energy and medical technology, substantiated with gross R&D expenditure equating to 2.9% of GDP, the 12th highest globally. The country also ranks 3rd in the number of researchers per million people, highlighting its commitment to fostering scientific advancement.

Human capital is another critical factor underpinning Denmark's economic stability. The OECD's Education GPS reports that Denmark ranks fourth in annual expenditure per tertiary student among OECD countries (USD 26,781 in 2021). This investment in education has cultivated a highly educated workforce, with 58% of Danish women and 40% of Danish men aged 25-34 holding tertiary qualifications, well above the OECD average. Denmark's early childhood education participation rate is among the highest, with 97.1% of children aged 3-5 enrolled. These efforts support the development of a skilled labor force, bolster productivity, and contribute significantly to Denmark's steady economic growth.

Impact of Economic Policies on Quality of Life

Denmark is notorious for its high quality of life valuation and happiness levels. Our group sought to identify the economic policies behind this and discovered one that stood out: the Flexicurity Model, which balances social welfare and minimizes frictional unemployment caused by prolonged job searches. This model, developed in the 19th century when negotiations among employers and trade unions hit a high in 1899, blends labor market flexibility with social security, fostering a dynamic yet secure workforce.

There are three core elements of flexicurity according to The Ministry of Foreign Affairs of Denmark:

1. Employers can hire and fire at will with minimal dismissal costs, making job-related litigation rare.
2. Employees who join and pay subscription fees to an A-kasse (unemployment insurance fund) get up to two years' dagpenge (unemployment benefit) after losing their jobs.
3. The Danish government runs education and retraining programs and provides counseling services to get unemployed people back into the workforce as quickly as possible. (Ministry of Foreign Affairs of Denmark)

Employers can hire and fire workers with minimal legal or financial barriers, enabling businesses to adapt swiftly to market changes. Conversely, employees benefit from robust safety nets, such as unemployment insurance through A-kasse funds (up to two years of benefits) and government-funded retraining programs. In turn, this model minimizes frictional unemployment, as workers transition quickly between jobs, and provides resilience during cyclical downturns, cushioning against economic shocks. However, it is important to note that such nurturing unemployment insurance can lead to adverse unemployment spells such as free-riding and unhurried job finding, but more will be discussed in a later section. Holistically, the flexicurity model limits average spells of unemployment (1/f in our Econ 100B formula), which takes a lot of stress out of job finding and feelings of job insecurity. The result is one of Europe's lowest unemployment rates and short spells of joblessness as evidenced by OECD data. Ultimately, reduced stress in job mobility and income security enhances overall quality of life, fostering job satisfaction and career advancement.

Now, an overview of Denmark's socially-oriented fiscal policy, prioritizing high government spending on social welfare programs, including universal healthcare, education, and unemployment benefits, will prove itself as another contributing factor to Denmark's continued high quality of life. According to Denmark's Ministry of Finance 2024 Publication titled, Denmark's Fiscal and Structural Policy Plan 2024, total public expenditure was reported at approximately 45.75% of GDP in 2023 and is projected to reach 49.25% of GDP by 2030 (*Denmark's Fiscal and Structural Plan 2024)*. In comparison, the USA's total public expenditure to GDP ratio is 36.2%. These differing economic policies highlight different goals: The USA leans toward a smaller government with less redistribution, leading to higher income inequality compared to Denmark. However, the trade-offs between efficiency and equity in these models depend on broader social and cultural preferences. That said, Denmark's spending supports a welfare state that redistributes wealth, reduces inequality and poverty, and spurs economic growth. This correlates to our Keynesian Cross Model, where planned expenditure shifts up as government spending increases, leading to a total income increase by the change in government spending multiplied by the government multiplier. So with a large portion of GDP sanctioned to welfare spending, the Danish's economic benefits are felt directly and through external economic growth.

The tangible benefits of this policy are reflected in Denmark's consistent top rankings in quality of life and happiness indices, such as the World Happiness Report. By ensuring equal access to essential services, Denmark promotes social cohesion, economic stability, and citizen well-being.

Ultimately, Denmark's flexicurity model and welfare-oriented fiscal policies interconnect, balancing economic efficiency with social equity. These measures reduce unemployment, stimulate growth, and ensure a high quality of life for all citizens. The Danish example highlights how economic policies can harmonize market dynamics with societal welfare if done correctly.

Comparative Analysis with Other Economies

Comparing the policies and ethos of Denmark to the United States elucidates the two countries' contrasting strategies in achieving economic growth and enhancing quality of life. Denmark emphasizes social welfare and government intervention, while the United States relies on market-based solutions, resulting in distinct economic and social outcomes that highlight the trade-offs between equality and growth. Denmark's welfare state forms the backbone of its economic and social stability. According to the OECD, Denmark allocates approximately 28% of its GDP to social welfare programs—significantly higher than the U.S., which spends around 18.7%. Examples of this expenditure include universal healthcare, free higher education, and generous unemployment benefits, all of which collectively reduce poverty and income inequality. Denmark's poverty rate is just 5.5%, compared to 17.8% in the United States, and the country consistently ranks among the highest globally in life satisfaction, according to the *World Happiness Report*. In contrast, while the U.S. achieves higher average GDP growth rates (2.5–3% over the past decade), it grapples with pronounced income inequality and weaker social safety nets, leaving many low-income individuals vulnerable to economic insecurity.

Fiscal policy further underscores the stark differences between the two nations. Denmark's progressive taxation system redistributes wealth to fund high-quality public services, promoting social equity and human capital development. This ensures that all citizens, regardless of income, have access to essential services such as healthcare and education. Conversely, the U.S. prioritizes lower taxation, emphasizing individual responsibility, which fosters innovation and economic dynamism but limits access to public goods for low-income populations, thereby exacerbating socioeconomic disparities.

Policy Recommendations

Regarding policy recommendations, Denmark's economy is currently in such a strong state that we recommend Denmark's best course of action is essentially to continue with its current policies. We focus on Denmark's strong investment policies and Flexicurity model to illustrate this point.

We recommend Denmark maintain strong investment in research and development, which necessitates keeping the current progressive income tax. As previously described, Denmark invests heavily in R&D, specifically in renewable energy, medical technology, and education. This allows Denmark to establish and maintain a competitive edge in the increasingly important renewable and medical technologies, as well as providing Danish companies with a highly educated and skilled labor force to the great benefit of the Danish economy. Thus, continuing to invest in R&D is strongly recommended. One of the primary reasons why Denmark is able to invest so much in such things is Denmark's strong progressive income tax. In 2023, Denmark's acquired tax revenue was equal to approximately 30% of its GDP (World Bank). Contrast this with the United States, which in 2023 acquired tax revenue equal to only about 12% of its GDP (World Bank). Denmark taxes very heavily, targeting in particular the highest earning individuals and corporations, and much of that tax revenue goes toward R&D and investment in education. Endogenous growth theory predicts that investment is the driver of economic growth, and as such, we recommend Denmark continues taxing and investing heavily.

Denmark's unemployment rate is an interesting point that suggests policy intervention, as the rate is high compared to countries like the USA; however, when examined in the context of other European countries, Denmark's unemployment rate is remarkably low, and policy intervention may not be necessary. Denmark's Flexicurity model, as previously described, is an incredibly solid method for keeping unemployment as low as possible while still providing unemployed individuals with generous benefits not seen in countries like the USA. Looking from this perspective, a slightly high unemployment rate is the tradeoff for high quality of life. It is a great relief to the worker's mental health to know that if they ever find themself unemployed, the state can keep them comfortably on their feet while they search for a new job. This may encourage people to stay unemployed for longer, but the improvement to quality of life is worth it. We believe attempting to reduce unemployment in Denmark would damage the integrity of the Flexicurity model and do more harm than good. Thus, Denmark's current unemployment rate does not need to be addressed.

Conclusion

As demonstrated, Denmark's consistent economic growth is linked directly to its social welfare. Denmark's high quality of life is made possible by the Flexicurity model, sustainable development, and high taxes and investment—all policies that stand in contrast to the policies of countries like the United States. Perhaps countries could take inspiration from Denmark's consistent prioritization of social welfare over potentially unsustainably high GDP growth. In any case, this report reaffirms Denmark's position as a strong, healthy, and happy economy.

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